

**ELIZABETH M. HAMMACK
9235 ROYAL CREST CT.
GRANITE BAY, CA 95745**

RECEIVED

Date: August 11, 2025

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To:

Rob Bonta, Attorney General, State of California
Attn: Initiative Coordinator
Office of the Attorney General
1300 "I" Street, 17th Floor
Sacramento, CA 95814

INITIATIVE COORDINATOR
ATTORNEY GENERAL'S OFFICE

Subject: Submission of Proposed Initiative Measure for Preparation of Circulating Title and Summary

Measure Title: *California Insurance Market Reform Act of 2026*

Enclosures:

1. **Full Text of Proposed Initiative Measure – *California Insurance Market Reform Act of 2026***
 2. **Proponent Declaration – Signed and dated (Elections Code § 9608)**
 3. **Legislative Memo**
 4. **Proposed Circulating Title and Summary and Fiscal & Policy Impact Analysis**
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Summary of Measure's Purpose:

The California Insurance Market Reform Act of 2026 repeals Proposition 103 (1988) including the elected Insurance Commissioner requirement, prior approval rate-setting system, and the compensated third-party intervenor process in insurance rate hearings and replaces it with a modernized insurance regulatory framework designed to restore market stability, increase competition, and protect consumers. The measure reforms rate regulation, provides fair and adequate rates to consumers, limits commissioner discretion, eliminates third-party intervenors in rate proceedings, establishes wildfire risk mapping standards, and strengthens solvency requirements for insurers, while retaining core consumer protections.

Major provisions include:

- Changing the Insurance Commissioner from an elected to an appointed position (Governor appointment, Senate confirmation).
- Establishing statutory limits on the Commissioner's authority.

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- Replacing prior-approval rate review with a modern process that includes deadlines and allows actuarial consideration of reinsurance costs and mitigation credits.
- Mandating science-based wildfire mapping updated at least every 3 years.
- Preserving consumer protections while restoring market competition.

More Specifically, it:

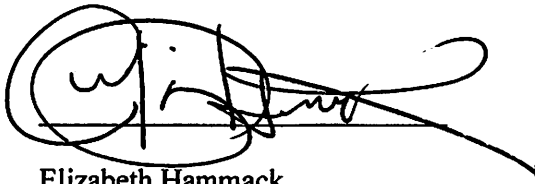
- Requires the Governor to appoint the Insurance Commissioner, subject to Senate confirmation.
- Limits the Commissioner's authority to powers expressly granted by law, prohibiting expansion of jurisdiction without legislative approval.
- Establishes a new rate regulation process requiring that rates be adequate, not excessive, and not unfairly discriminatory, with mandatory timelines for decisions.
- Mandates development and regular updating (at least every 3 years) of uniform, science-based wildfire risk maps for use in underwriting, pricing, and mitigation credit determinations.
- Preserves consumer protections against unfair practices, while allowing rate consideration of reinsurance costs and approved mitigation measures.
- Repeals all statutes enacted by Proposition 103 that are inconsistent with this Act, including Insurance Code Sections 1861.01–1861.16.

Overall, the California Insurance Market Reform Act of 2026 seeks to restore insurer participation in the California market, expand insurance coverage availability to consumers, and provide fair and adequate rates to consumers.

I am an independent Insurance Agent who has seen first-hand the dysfunction of that the old Prop 103 has wreaked upon our state and want to make a difference for the better of all the people of California.

Thank you.

Signature of Proponent:

A handwritten signature in black ink, appearing to be 'Elizabeth Hammack', written over a horizontal line.

Printed Name:

Elizabeth Hammack

Elizabeth Hammack
9235 Royal Crest Ct.
Granite Bay, CA 95746
650-492-9800

Agency Principal & Owner
Panorama Insurance Associates, Inc.
ehammack@panorama360.com

1 THE PEOPLE OF THE STATE OF CALIFORNIA DO ENACT AS FOLLOWS:

2
3 SECTION 1. Short Title

4 This Act shall be known and may be cited as the California Insurance
5 Market Reform Act of 2026.

6
7 SEC. 2. Findings and Purpose

8 (a) The consumer protections, rate regulation, and elected
9 Commissioner provisions of Proposition 103 (1988) are outdated and
10 have contributed to insurer withdrawals, leaving many Californians
11 without adequate coverage.

12 (b) Rising wildfire risk, escalating reinsurance costs, and climate-
13 driven challenges require a modern, transparent regulatory framework.

14 (c) This Act repeals Proposition 103's outdated provisions and
15 replaces them with a system that fosters fair rates, protects
16 consumers, promotes wildfire resilience, and encourages market
17 participation.

18 (d) It is the intent of the People of the State of California to
19 preserve strong consumer protections while eliminating processes that
20 have been abused for personal or political gain, including the
21 compensated intervenor system.

22
23 SEC. 3. Repeal of Proposition 103

24 (a) The following provisions of the Insurance Code enacted by
25 Proposition 103 (1988) are repealed:

(1) Sections 1861.01 through 1861.16, inclusive.

(2) Any provision requiring that the Insurance Commissioner be elected.

(3) All statutory provisions and implementing regulations authorizing third-party consumer intervenors to participate in insurance rate proceedings, and any public funding or compensation for such intervenors.

(4) Any other provision of Proposition 103 that conflicts with this Act.

(b) All other provisions of Proposition 103, whether codified or uncodified, that conflict with this Act are hereby repealed.

SEC. 4. Insurance Commissioner Appointment and Authority

(a) The Governor shall appoint the Insurance Commissioner, subject to Senate confirmation.

(b) The Commissioner shall serve a term of six years and may be reappointed once.

(c) The Commissioner must have at least ten (10) years of professional experience in insurance regulation, actuarial science, risk management, or a substantially related field.

(d) The Commissioner's authority shall be limited to powers granted by statute. Any expansion of authority must be expressly authorized by legislation.

(e) The Governor shall consult with legislative leadership of both major political parties before making an appointment.

51

52 SEC. 5. Rate Regulation Standards

53 (a) Insurance rates must be adequate, defined as sufficient to cover
54 expected losses, reasonable expenses, and a reasonable profit, not
55 excessive, and not unfairly discriminatory.

56 (b) Rate filings must be processed within 120 days unless extended by
57 mutual agreement.

58 (c) Filers may include reinsurance costs and wildfire mitigation
59 activities in rate justifications.

60 (d) The Department of Insurance shall maintain a public comment
61 process for rate filings, which may include written comments or
62 public hearings. No monetary compensation shall be paid to any person
63 or entity providing comment or participating in such proceedings.

64

65 SEC. 6. Wildfire Mapping Requirements

66 (a) The Department of Insurance, in coordination with CAL FIRE, the
67 Office of Emergency Services, and academic experts, shall develop and
68 maintain standardized wildfire risk maps.

69 (b) Maps must be updated at least every three years and applied
70 consistently in rate filings, underwriting decisions, and mitigation
71 credits.

72 (c) The maps shall be adopted and updated by regulation following a
73 public comment period of no less than 45 days.

74 (d) Full implementation of wildfire mapping provisions must occur no
75 later than twenty-four (24) months after the effective date of this

76 Act.

77

78 SEC. 7. Consumer Protections

79 (a) Existing prohibitions on unfair claims practices remain intact.

80 (b) Insurers must offer credits or discounts to policyholders

81 implementing approved wildfire mitigation measures.

82 (c) Consumer recourse mechanisms and transparency in rate decisions
83 shall be maintained.

84 (d) This Act shall not be construed to diminish existing rights of
85 policyholders except where expressly stated.

86

87 SEC. 8. Transition and Implementation

88 (a) Within 12 months of this Act's effective date, inconsistent
89 regulations, processes, or provisions shall be repealed or revised.

90 (b) Pending filings may be re-evaluated under this Act upon request.

91 (c) The Commissioner may adopt emergency regulations to implement
92 this Act.

93

94 SEC. 9. Severability

95 If any provision of this Act is held invalid, the remainder shall
96 remain in effect unless such construction would frustrate legislative
97 intent.

98

99 SEC. 10. Effective Date

100 This Act shall take effect on January 1, 2027.

2 PROPOSED - PROPONENT-PREPARED

3 (For submission to Attorney General with initiative measure -
4 official language to be prepared by Attorney General and Legislative
5 Analyst's Office)
6

7 ATTORNEY GENERAL CIRCULATING TITLE AND SUMMARY

8 CALIFORNIA INSURANCE MARKET REFORM ACT OF 2026. INITIATIVE STATUTE.

9 Repeals Proposition 103 (1988) and related statutes governing
10 regulation of property and casualty insurance. Eliminates requirement
11 that Insurance Commissioner be elected; provides for gubernatorial
12 appointment with Senate confirmation. Replaces current rate-approval
13 process with competitive rating system subject to actuarial
14 standards, solvency oversight, and wildfire risk-mapping protocols.
15 Eliminates "intervenor" compensation process in rate cases.
16 Establishes statutory timelines for rate filings and approvals.
17 Requires insurers to offer coverage in all California counties,
18 subject to catastrophic risk-pool participation. Increases penalties
19 for insurer insolvency or failure to maintain adequate reserves.
20 Intended to restore insurer participation in California market,
21 improve availability of coverage, and promote investment in risk-
22 reduction measures.

23 Summary of estimate by Legislative Analyst and Director of Finance of
24 fiscal impact on state and local governments:

25 (To be prepared by Legislative Analyst's Office in coordination with
26 Department of Finance.)

2 **FISCAL & POLICY IMPACT ANALYSIS**

3 *(Proponent-prepared suggested analysis for consideration by*
4 *Legislative Analyst's Office)*

5 Fiscal Impact:

6 - State Administrative Costs:

7 • One-time costs in the low millions of dollars for Department of
8 Insurance (DOI) to implement new regulatory framework, including
9 adoption of new rate-review systems, risk-mapping tools, and
10 catastrophic risk-pool operations. Reduction of costs to third-party
11 intervenors.

12 • Ongoing annual costs in the low millions of dollars for DOI
13 staff, actuarial review, enforcement, and risk-pool administration.
14 These costs would be offset by assessments on participating insurers
15 and/or existing DOI funding sources.

16 - Local Government Costs and Revenues:

17 • Potential minor local government costs associated with increased
18 wildfire risk-mitigation enforcement and building code updates.

19 • No significant change in local tax revenues anticipated.

20 - Market Effects:

21 • Potential reduction in state liabilities associated with post-
22 disaster recovery if insurance coverage availability increases.

23 • Increased private investment in risk reduction may reduce future
24 state and local emergency response costs.

25 Policy Impact:

- 2 - Likely increases insurer participation and consumer choice in the
- 3 California property and casualty market.
- 4 - Expected to stabilize availability and affordability of homeowners'
- 5 and commercial insurance over the medium term.
- 6 - Removal of intervenor compensation process may reduce procedural
- 7 delays in rate filings and costs but could reduce third-party
- 8 consumer oversight in rate decisions.
- 9 - Wildfire mapping standards may promote more accurate risk-based
- 10 pricing and incentivize property hardening.
- 11 - Commissioner appointment process may lead to greater subject-matter
- 12 expertise in leadership but reduce direct electoral accountability.

LEGISLATIVE INTENT MEMORANDUM

Purpose

The People of the State of California declare that the purpose of this Act is to repeal the outdated regulatory framework enacted by Proposition 103 (1988) and replace it with a modern, flexible insurance regulatory system that ensures the continued availability and affordability of insurance coverage for California residents and businesses.

Findings

1. California's insurance market is in crisis.

- Proposition 103's rigid, litigation-driven regulatory structure has contributed to insurer withdrawals, reduced competition, and reduced availability of coverage, particularly in high wildfire-risk regions.
- The current rate approval process is slow, unpredictable, and subject to costly third-party interventions that have often been used for financial gain rather than consumer benefit.

2. Climate change and evolving risks demand a modern regulatory response.

- Catastrophic wildfire seasons, severe storms, and other climate-related events have increased both the frequency and severity of insured losses.

- Current law does not adequately allow insurers to account for forward-looking risk models, reinsurance costs, or investments in community risk mitigation.

3. Consumers deserve choice, stability, and transparency.

- The lack of participating insurers forces many Californians into the high-cost, last-resort FAIR Plan.
- Restoring a competitive, solvent private insurance market will improve options and stabilize pricing.

4. Regulatory oversight should be professional and accountable.

- The elected Insurance Commissioner role has become politicized, often serving as a stepping stone to higher office rather than a position requiring deep insurance industry and actuarial expertise.
- This Act replaces the elected commissioner with a Governor-appointed, Senate-confirmed Insurance Commissioner to ensure qualified leadership and reduced political influence.

Intent

1. Repeal Proposition 103 in full, eliminating outdated statutory provisions and the current rate-setting and intervention process.
2. Establish a modern rate regulation framework that allows for:
 - Use of forward-looking catastrophe models.
 - Consideration of reinsurance costs.

- Credits for individual and community wildfire mitigation measures.
- Timely review and approval of rates.

3. Remove third-party "intervenor" provisions that have been exploited for monetary gain and have slowed rate approvals.

4. Adopt standardized wildfire risk mapping for transparent and consistent underwriting decisions.

5. Reform the leadership structure of the Department of Insurance by appointing a qualified commissioner with relevant expertise.

6. Protect consumers through transparency requirements, published annual market availability reports, and clear rate filing summaries accessible to the public.

Conclusion

This Act is intended to restore stability, encourage insurer participation, and protect consumers in California's insurance market by replacing a 1980s regulatory structure with a modern, balanced system suited to the challenges of the 21st century.